

DRREDDY — Dr Reddys Laboratories Ltd

Sector: Healthcare | Sub-sector: Pharmaceuticals

Dr. Reddy's Laboratories Ltd is a leading India-based pharmaceutical company which offers a portfolio of products and services, including Active Pharmaceutical Ingredients (APIs), Custom Pharmaceutical services (CPS), generics, biosimilars and differentiated formulations.

ROE	ROCE	NPM	D/E	FCF (Cr)	Rev CAGR 5Y
19.7%	21.4%	19.9%	0.07	509	12.6%

10-Year Financial Trend

Year	Revenue	Profit	ROE	ROCE	FCF
2015-03	15,023	2,336	23.7	19.4	154
2016-03	15,568	2,131	17.0	16.6	1,653
2017-03	14,196	1,292	10.5	8.4	254
2018-03	14,281	947	7.5	7.2	320
2019-03	15,448	1,950	13.9	11.4	2,101
2020-03	17,517	2,026	13.0	7.4	2,489
2021-03	19,048	1,952	11.1	12.8	1,315
2022-03	21,545	2,182	11.4	11.5	246
2023-03	24,670	4,507	19.4	21.2	1,779
2024-03	28,011	5,578	19.7	21.4	509

Financial health score: 55.4 | Band: Moderate

Balance Sheet & Cash Flow Intelligence

Recent Balance Sheet

Year	Equity	Debt	Assets	Liabilities
2021-03	17,641	3,031	26,588	26,588
2022-03	19,212	3,384	29,746	29,746
2023-03	23,286	1,347	32,209	32,209
2024-03	28,254	2,002	38,780	38,780
2024-09	30,749	4,854	46,728	46,728

Recent Cash Flow

Year	CFO	CFI	CFF	Net Cash
2020-03	2,984	-495	-2,516	-27
2021-03	3,570	-2,255	-30	1,286
2022-03	2,811	-2,565	-242	3
2023-03	5,888	-4,109	-2,686	-907
2024-03	4,543	-4,034	-376	133

Capital allocation: Reinvestor / Returns

CFO quality score: 50 | CapEx intensity: 14.4% | FCF conversion: 6.4%

Pros

Positive free cash flow in the latest available year.; Free cash flow has remained positive for five consecutive years.; Profit CAGR exceeds 20% over five years.; Interest coverage exceeds 5x.

Cons

Capital expenditure intensity exceeds 8% of sales.

